

Managerial Economics

Section Id :	64065357862
Section Number :	11
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	14
Number of Questions to be attempted :	14
Section Marks :	45
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	Yes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653120979
Question Shuffling Allowed :	No
Is Section Default? :	null

Question Number : 251 Question Id : 640653821681 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS

REGISTERED BY YOU)

Options :

6406532757625. ✓ YES

6406532757626. ✗ NO

Sub-Section Number :	2
Sub-Section Id :	640653120980
Question Shuffling Allowed :	No
Is Section Default? :	null

Question Id : 640653821682 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0
Question Numbers : (252 to 254)

Question Label : Comprehension

Suppose that Nita's utility function is given by $u(I) = (10I)^{0.5}$, where I represents annual income in thousands of dollars. Suppose that Nita is currently earning an income of \$40,000 ($I = 40$) and can earn that income next year with certainty. She is offered a chance to take a new job that offers a 0.6 probability of earning \$44,000 and a 0.4 probability of earning \$33,000.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 252 Question Id : 640653821683 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0
Correct Marks : 1

Question Label : Multiple Choice Question

Nita's risk preferences are

Options :

6406532757627. ✓ Risk averse

6406532757628. ✖ Risk loving

6406532757629. ✖ Risk neutral

6406532757630. ✖ Cannot be determined

Question Number : 253 Question Id : 640653821684 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Should Nita take up the new job?

Options :

6406532757631. ✖ Yes

6406532757632. ✔ No

Question Number : 254 Question Id : 640653821685 Question Type : SA Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 2

Question Label : Short Answer Question

If Nita is willing to join the new job and also to buy insurance to protect against the variable income associated with the new job, how much would she be willing to pay for that insurance (in \$)?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

188 to 208

Sub-Section Number :

Sub-Section Id : 640653120981

Question Shuffling Allowed : No

Is Section Default? : null

Question Id : 640653821686 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Question Numbers : (255 to 257)

Question Label : Comprehension

A monopolist faces the demand curve $P = 11 - Q$, where P is measured in dollars per unit and Q in thousands of units. The monopolist has a constant average cost of \$6 per unit. Answer the given subquestions.

Sub questions

Question Number : 255 Question Id : 640653821687 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 2

Question Label : Multiple Choice Question

What are the monopolist's profit-maximizing price and quantity?

Options :

6406532757634. ✖ Profit maximizing price=2.5 and Profit maximizing quantity=4500

6406532757635. ✔ Profit maximizing price=8.5 and Profit maximizing quantity=2500

6406532757636. ✖ Profit maximizing price=4.5 and Profit maximizing quantity=8500

6406532757637. ✖ Profit maximizing price=5.5 and Profit maximizing quantity=2500

Question Number : 256 Question Id : 640653821688 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The resulting profit will be

Options :

6406532757638. ✖ 4250

6406532757639. ✔ 6250

6406532757640. ✖ 5060

6406532757641. ✖ 6850

Question Number : 257 Question Id : 640653821689 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Calculate the firm's degree of monopoly power using the Lerner index

Options :

6406532757642. ✖ 0.349

6406532757643. ✖ 0.249

6406532757644. ✔ 0.294

6406532757645. ✖ 0.394

Sub-Section Number :	4
Sub-Section Id :	640653120982
Question Shuffling Allowed :	No
Is Section Default? :	null

Question Id : 640653821690 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0 Question Numbers : (258 to 267)

Question Label : Comprehension

Suppose two firms operate in a market and can produce at a constant average (and marginal) cost of $AC = MC = \$5$. Let Q_1 be the output of the first firm and Q_2 be the output of the second. Market demand is given by $Q_1 + Q_2 = 53 - P$. Assuming that the firms are competing as per the Cournot competition, find out the equilibrium quantity for each firm, equilibrium price and profit (π_1, π_2) of each firm.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 258 Question Id : 640653821691 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

$Q_1^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

16

Question Number : 259 Question Id : 640653821692 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

$Q_2^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

16

Question Number : 260 Question Id : 640653821693 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

$P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

21

Question Number : 261 Question Id : 640653821694 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

$\pi_1 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

256

Question Number : 262 Question Id : 640653821695 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

$\pi_2 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

256

Question Number : 263 Question Id : 640653821696 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 2

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for the firms, equilibrium market price and profits (π_1 , π_2) of both the firms in equilibrium.

$Q_1^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

24

Question Number : 264 Question Id : 640653821697 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 2

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for the firms, equilibrium market price and profits (π_1, π_2) of both the firms in equilibrium.

$Q_2^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

12

Question Number : 265 Question Id : 640653821698 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for the firms, equilibrium market price and profits (π_1, π_2) of both the firms in equilibrium.

$P^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

17

Question Number : 266 **Question Id :** 640653821699 **Question Type :** SA **Calculator :** None

Response Time : N.A **Think Time :** N.A **Minimum Instruction Time :** 0

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for the firms, equilibrium market price and profits (π_1 , π_2) of both the firms in equilibrium.

$\pi_1 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

288

Question Number : 267 **Question Id :** 640653821700 **Question Type :** SA **Calculator :** None

Response Time : N.A **Think Time :** N.A **Minimum Instruction Time :** 0

Correct Marks : 1

Question Label : Short Answer Question

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for the firms, equilibrium

market price and profits (π_1 , π_2) of both the firms in equilibrium.

$\pi_2 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

144

Sub-Section Number : 5

Sub-Section Id : 640653120983

Question Shuffling Allowed : No

Is Section Default? : null

Question Id : 640653821701 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Question Numbers : (268 to 269)

Question Label : Comprehension

Last week you purchased five large cases of Fritos for a customer who, as it turned out, did not accept delivery. You paid \$100 for these cases. You have a deal with your grocers that they will pay you \$0.25 for each dollar of returned merchandise. Just this week, you found a fraternity on campus that will buy the five cartons for \$55 (and will pick them up from your apartment, relieving you of the need to deliver them to the frat house).

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 268 Question Id : 640653821702 Question Type : SA Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

What is the opportunity cost of filling this order (i.e., selling these cartons to the fraternity)? (in \$)_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

25

Question Number : 269 Question Id : 640653821703 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Should you sell the Fritos to the fraternity? _____

Options :

6406532757657. ✔ Yes

6406532757658. ✖ No

Sub-Section Number : 6

Sub-Section Id : 640653120984

Question Shuffling Allowed : No

Is Section Default? : null

Question Id : 640653821704 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Question Numbers : (270 to 275)

Question Label : Comprehension

Two used car dealerships compete side by side on a main road. The first, Hamid's Cars, always sells high-quality cars that it carefully inspects and, if necessary, services. On average, it costs Hamid's \$8000 to buy and service each car that it sells. The second dealership, Latif's Motors, always sells lower-quality cars. On average, it costs Latif's only \$5000 for each car that it sells. If consumers knew the quality of the used cars they were buying, they would pay \$10,000 on average for Hamid's cars and only \$7000 on average for Latif's cars.

Without more information, consumers do not know the quality of each dealership's cars. In this case, they would figure that they have a 50-50 chance of ending up with a high quality car, and are thus willing to pay \$8500 for a car.

Hamid has an idea: He will offer a bumper-to-bumper warranty for all cars he sells. He knows that a warranty lasting Y years will cost **\$500Y** on average, and he also knows that if Latif tries to offer the same warranty, it will cost Latif **\$1000Y** on average.

Suppose Hamid offers a one-year warranty on all of the cars he sells.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 270 Question Id : 640653821705 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he does not offer a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2000

Question Number : 271 Question Id : 640653821706 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

What is Latif's profit (per car in \$) if he offers a one-year warranty?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2500

Question Number : 272 Question Id : 640653821707 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's does not offer a one-year warranty?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1500

Question Number : 273 Question Id : 640653821708 Question Type : SA Calculator : None

Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Short Answer Question

What is Hamid's profit (per car in \$) if Latif's offers a one-year warranty? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

0

Question Number : 274 **Question Id :** 640653821709 **Question Type :** MCQ **Is Question**

Mandatory : No **Calculator :** None **Response Time :** N.A **Think Time :** N.A **Minimum Instruction Time :** 0

Correct Marks : 1

Question Label : Multiple Choice Question

Will Latif's match Hamid's one-year warranty? _____

Options :

6406532757663. ✓ Yes

6406532757664. ✗ No

Question Number : 275 **Question Id :** 640653821710 **Question Type :** MCQ **Is Question**

Mandatory : No **Calculator :** None **Response Time :** N.A **Think Time :** N.A **Minimum Instruction Time :** 0

Correct Marks : 1

Question Label : Multiple Choice Question

Is it a good idea for Hamid's to offer a one-year warranty? _____

Options :

6406532757665. ✗ Yes

6406532757666. ✓ No

Sub-Section Number :

7

Sub-Section Id :

640653120985

Question Shuffling Allowed :

No

Is Section Default? :

null

Question Id : 640653821711 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0 Question Numbers : (276 to 285)

Question Label : Comprehension

The market demand curve for pizzas is $P=300-Q$ and the market supply curve is $P=60+2Q$. A tax of $t=15$ INR is imposed on one unit of pizza sold. Answer the given subquestions.

Sub questions

Question Number : 276 Question Id : 640653821712 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The equilibrium quantity and price before incidence of tax are

Options :

6406532757667. ✖ $P^*=80$ INR, $Q^*=220$ units

6406532757668. ✔ $P^*=220$ INR, $Q^*=80$ units

6406532757669. ✖ $P^*=180$ INR, $Q^*=60$ units

6406532757670. ✖ $P^*=60$ INR, $Q^*=180$ units

Question Number : 277 Question Id : 640653821713 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Consumer surplus before incidence of tax is

Options :

6406532757671. ✖ INR 4500

6406532757672. ✖ INR 2700

6406532757673. ✔ INR 3200

6406532757674. ✖ INR 4200

Question Number : 278 Question Id : 640653821714 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Producer surplus before incidence of tax is

Options :

6406532757675. ✔ INR 6400

6406532757676. ✖ INR 4600

6406532757677. ✖ INR 3700

6406532757678. ✖ INR 2700

Question Number : 279 Question Id : 640653821715 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The equilibrium quantity after the incidence of tax is

Options :

6406532757679. ✖ $Q^*=60$ units

6406532757680. ✖ $Q^*=80$ units

6406532757681. ✓ Q*=75 units

6406532757682. ✖ Q*=180 units

Question Number : 280 Question Id : 640653821716 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The new price that buyer pays after incidence of tax is

Options :

6406532757683. ✖ P=220 INR

6406532757684. ✖ P=190 INR

6406532757685. ✖ P=180 INR

6406532757686. ✓ P=225 INR

Question Number : 281 Question Id : 640653821717 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The net price received by the seller after incidence of tax

Options :

6406532757687. ✖ P=220 INR

6406532757688. ✖ P=225 INR

6406532757689. ✖ P=190 INR

6406532757690. ✓ P=210 INR

Question Number : 282 Question Id : 640653821718 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The loss in consumer surplus due to incidence of tax is

Options :

6406532757691. ✖ 527.5 INR

6406532757692. ✔ 387.5 INR

6406532757693. ✖ 478.5 INR

6406532757694. ✖ 268.5 INR

Question Number : 283 Question Id : 640653821719 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The loss in producer surplus due to incidence of tax is

Options :

6406532757695. ✖ INR 565

6406532757696. ✖ INR 845

6406532757697. ✔ INR 775

6406532757698. ✖ INR 695

Question Number : 284 Question Id : 640653821720 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The total tax revenue is

Options :

6406532757699. ✖ INR 1255

6406532757700. ✖ INR 1075

6406532757701. ✖ INR 1535

6406532757702. ✔ INR 1125

Question Number : 285 Question Id : 640653821721 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Deadweight loss of tax is

Options :

6406532757703. ✖ INR 48.5

6406532757704. ✔ INR 37.5

6406532757705. ✖ INR 89.5

6406532757706. ✖ INR 68.5

Sub-Section Number :	8
Sub-Section Id :	640653120986
Question Shuffling Allowed :	Yes
Is Section Default? :	null

Question Number : 286 Question Id : 640653821722 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about monopolistic competition

Options :

6406532757707. ✔ Firms compete by selling differentiated products that are highly, but not perfectly, substitutable

6406532757708. ✖ Entry and exit are not free in the market

6406532757709. ✖ None of Firms compete by selling differentiated products that are highly, but not perfectly, substitutable & Entry and exit are not free in the market

6406532757710. ✖ Both Firms compete by selling differentiated products that are highly, but not perfectly, substitutable & Entry and exit are not free in the market

Question Number : 287 Question Id : 640653821723 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct statement

Options :

6406532757711. ✖ Quasi linear preferences are linear in one good and non-linear in other good

6406532757712. ✖ $U = \min\{ax, by\}$ represents complements

6406532757713. ✖ $U = ax+by$ represents substitutes

6406532757714. ✔ All of these

Question Number : 288 Question Id : 640653821724 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

The Cobb-Douglas production function $F(K, L) = K^p L^q$

Options :

6406532757715. ✖ Shows only constant returns to scale

6406532757716. ✔ Shows Increasing, decreasing or constant returns to scale based on the value of $p+q$

6406532757717. ✖ Has constant marginal product of labour

6406532757718. ✖ Has constant marginal product of capital

Question Number : 289 Question Id : 640653821725 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

6406532757719. ✔ First-degree price discrimination is the practice of attempting to price each unit at the consumer's reservation price

6406532757720. ✖ Third-degree price discrimination is the practice of offering consumers a quantity discount

6406532757721. ✖ Second-degree price discrimination is the practice of charging different uniform prices to different consumer groups or segments in a market

6406532757722. ✖ All of these

Question Number : 290 Question Id : 640653821726 Question Type : MCQ Is Question

Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

Adverse selection occurs when

Options :

6406532757723. ✖ a person takes more risks that are not known to the life insurance company because he has life insurance

6406532757724. ✔ a person buys life insurance because he has a risky lifestyle that is not known to the life insurance company

6406532757725. ✖ a person is a risk lover

6406532757726. ✖ pregnant women with health insurance make more doctor visits than uninsured pregnant women

Question Number : 291 Question Id : 640653821727 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question

If bad drivers can usually avoid being ticketed by the police, then insurance companies will

Options :

6406532757727. ✖ use one's driving record as a signal

6406532757728. ✖ use one's driving record as a screening device

6406532757729. ✔ not be able to use one's driving record as a screening device

6406532757730. ✖ request driving records directly from the police and not from the individual applicant

Question Number : 292 Question Id : 640653821728 Question Type : MCQ Is Question Mandatory : No Calculator : None Response Time : N.A Think Time : N.A Minimum Instruction Time : 0

Correct Marks : 1

Question Label : Multiple Choice Question